

The Best Online Business to Make \$1M (Beginner-Friendly)

Channel: Tim Luong · Published: Aug 31, 2026 · Watch: <https://www.youtube.com/watch?v=7HZjypdcyP8> Source: full transcript

Executive Summary

Tim Luong rates six online income streams on ease of start, speed to first dollar, and passive income potential — drawing on \$50M+ in personal revenue — and explains how each one funds and unlocks the next.

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Framework & Criteria 0:00

- Tim has generated **over \$50 million online** across multiple income streams
- Every income stream is rated on three criteria:
 - **Ease of starting** — how accessible is it for a beginner?
 - **Speed to first dollar** — how quickly can you realistically get paid?
 - **Passive score** — how much can it earn without you being present?
- Ratings are on a 1–5 scale
- Core thesis: the highest-passive streams require capital, which you first build through lower-passive, active-income skills

Income Stream 1: Trading 0:23

- Trading is one of the most popular ways to make money online right now
- Tim's personal experience:
 - Spent **3 months grinding 70–80 hours a week** to learn how to make a little money

- Blew up multiple accounts using his own capital early on
- Being overly conservative (focused on not losing vs. making) was a hindrance
- Realistic learning timeline for most people: **6–12 months** to become competent
 - Tim believes he would learn faster today given modern tools and resources
- Key differentiator for success is mindset, not money:
 - Focus on taking the right trades, not the profit
 - Build proper risk management habits
 - Work on trading psychology

"If you focus on taking the right trades and learning the skill properly and having great risk management and working on your psychology, that's how you'll be successful."

- Major advantage today vs. when Tim started: **prop firm / other people's money accounts**
 - Removes pressure of risking personal capital
- Time commitment once skilled: **only 1–2 hours a day** — no need for a 12-hour grind
- Transferable skill: technical analysis from trading applies directly to long-term investing
 - This crossover later earned Tim **an extra seven figures** in investing
- How to practice risk-free:
 - Use **simulation / paper trading accounts** to trade live markets with fake money
 - Recommended practice period: **3–6 months** on a sim account
 - Track every trade — note what worked and what didn't
- Resource mentioned: Tim's father teaches trading at **stocknavigators.com**
- Trading's role in Tim's journey: funded his next business ventures, not the end goal itself

Criterion	Score
Ease of starting	3 / 5
Speed to first dollar	3 / 5
Passive score	4 / 5 (least time of any online endeavor, but you must be present)

Income Stream 2: Digital Products 3:03

- Common misconception: you need to be an expert — Tim says that's "the last thing that matters"
- Tim's origin story:
 - Founded **Stock Navigators** in 2018 as a casual in-person trading class in San Jose — not intended as a business
 - Had failed **3 businesses** before this one
 - Made his father the face of the brand (the actual expert) while Tim operated the business

- Early days were losing money
- In-person model quickly plateaued at **20–25 students per class**
- Pivoted online → created an online curriculum → scaled to **8-figure annual run rate**
- Stock Navigators has been on the **Inc. 5000 list two consecutive years**
- Now has tens of thousands of students, trading software, a community, live coaching calls, and daily live streams of millionaire traders
- Second digital product business:
 - Partnered with another trading educator → scaled from **\$0 to \$5 million in the first 12 months**
- Two paths for digital products:
 - **Be the expert** — create and sell your own product
 - **Be the operator** — run and build the business for an influencer or creator who needs help
 - Tim notes there are many creators who need operators and don't know how to run a business
- Skills Tim acquired through this process:
 - Paid ads, team building, people management, digital product creation, software development
- Now runs a **holding company of multiple digital product businesses**
- Resource mentioned: **Three Levels** — Tim's business for teaching people how to be operators in digital product businesses
- Trade-off: requires significantly more time investment in early days than trading

Criterion	Score
Ease of starting	3 / 5
Speed to first dollar	3 / 5
Passive score	2 / 5 (you must run the business)



Income Stream 3: Personal Brand 5:39

- Insight that sparked this: Tim noticed all the most successful digital product creators had personal brands behind them
- Realized he could have scaled his second creator business faster and with far less effort if that creator already had a large personal brand
- Tim's personal brand progress:
 - Took it seriously over the **last 2 years**
 - YouTube channel at time of filming: **13,000 subscribers** and growing
 - Instagram: **@TimothyLuong** — regularly receives multiple DMs per week from people wanting to pay for consulting or buy products
 - At time of filming, he had **no product yet** — proving content builds pre-sold trust
- Current AdSense revenue: **\$300–\$500/month** ("basically just pays for my coffee")

- Passive score from AdSense alone is "really bad"
- But personal brand is the reason consulting pays him **\$300–\$5,000/hour**
- The real compounding value of a personal brand:
 - Amplifies every other income stream on the list
 - Creates pre-built trust — prospects don't need a sales call; content already answers whether you can solve their problem
 - You don't need to be the world's best — just better than **90% of people** in your niche
- Action steps Tim recommends:
 - Pick **one platform** — don't spread across five at once
 - If YouTube: aim for **2–4 videos per month** to start
 - Consistency is critical — missing and then stopping entirely puts you far behind
- Why it's rated lower on passive: you must be the one filming consistently

Criterion	Score
Ease of starting	4 / 5 (can post tomorrow)
Speed to first dollar	2 / 5 (takes many years to compound)
Passive score	2 / 5

Income Stream 4: Consulting 8:21

- Tim's consulting rate: **\$300–\$5,000 per hour** — one of the highest dollar-per-hour streams in the video
- How his clients find him: primarily through Instagram DMs generated by his personal brand content
- Current volume: only **2–3 consulting sessions per month** due to bandwidth constraints
- Practical use case: a few sessions per month completely covers his content team's payroll
- Also genuinely enjoys it: "Even if it wasn't about paying for the content team, I would still do it — I love talking to founders"
- Critical prerequisite — you cannot just charge high rates without proof:
 - Tim has **8 years of online business experience** and **\$50M+ in verifiable revenue**
 - Credibility is what justifies premium rates; without it, you can't command them
- However, it is accessible as a starting point:
 - Can charge someone you know **tomorrow** if you have relevant expertise
 - If you're already making content, people willing to pay likely already follow you
- Major trade-off: **not passive at all** — pure time-for-money exchange; it never runs without you
- Best framed as a quick cash generation tool, not a long-term scalable asset
- Delivered through Tim's business: **Three Levels**

Criterion	Score
Ease of starting	4 / 5
Speed to first dollar	4 / 5
Passive score	1 / 5

Income Stream 5: Real Estate 9:51

- Often marketed as completely passive — Tim argues that's misleading until you understand the full picture
- Tim's example: first Miami property
 - **Appreciated over \$1 million in 2 years**
 - Also generates monthly cash flow
 - Comes with real responsibilities: maintenance, tenant management, etc.
- Leverage strategy (BRRRR-style borrowing):
 - If a property appreciates **\$300,000**, you can borrow against that appreciation via a bank loan
 - No sale required → no capital gains tax triggered
 - Loan proceeds can be used to buy another property
 - Assets keep compounding without selling anything
- Tim's advice on when to start:
 - **Do not start here** — only pursue real estate once you have consistent active cash flow
 - Use it as a place to deploy profits, not a starting point
- Top two tips for real estate success:
 - Buy in **up-and-coming locations**, not already-popular places (limited appreciation upside in established markets)
 - Do thorough **due diligence** — visit the property in person, hire a quality inspector (don't buy based on photos alone)
- Passive score can be improved by hiring a **property manager** to handle day-to-day operations
- Cash flow reality check: most early cash flow goes back into the mortgage; it's fundamentally a **20–30 year play**

Criterion	Score
Ease of starting	1 / 5
Speed to first dollar	2–3 / 5
Passive score	4 / 5 (with property manager)

Income Stream 6: Investing 12:10

- Listed last intentionally: **without consistent cash flow, you have nothing to compound**
- Tim's personal evolution:
 - Got too busy running multiple businesses and creating content to day trade daily
 - Transitioned from day trading → **swing trading + long-term investing**
 - Now makes a few good investment plays per quarter, earning on a longer time horizon without being screen-bound
- Two-account framework Tim recommends:
 - **Account 1 (active/trading account)**: used for more frequent plays to generate active income
 - **Account 2 (long-term investing account)**: a few good plays every few months or year — don't touch it, let it compound
- What to put in the long-term account:
 - **Index funds** (lowest friction starting point)
 - High-conviction **tech or AI stocks** you personally use and believe in
- Starting advice for beginners with active income:
 - Begin with index funds only — no stock picking required
 - Invest at least **10% of active income monthly** to start building a portfolio
 - "Put money in there and you don't even have to think about it — just let it ride"
- Why trading skills are the foundation:
 - Technical analysis from trading applied on a longer time horizon = an extra **seven figures** for Tim
 - Trading and investing "go hand in hand"
- Long-term investing is a **20–30+ year game**

Criterion	Score
Ease of starting	4–5 / 5 (can start tomorrow with index funds)
Speed to first dollar	2 / 5 (decades-long game)
Passive score	5 / 5

The Pattern: How Each Stream Funds the Next 14:07

- A critical pattern emerges when you look at all six streams together:
 - **Highest passive scores** (investing, real estate) require **significant capital to deploy** — capital that must come from active skills first
 - **Lowest passive scores** (consulting, personal brand) generate the **active cash flow** that makes everything else possible
- Tim's retrospective order of skill acquisition — each funded the next:
 - Trading → generated initial capital and core technical analysis skills
 - Digital products → scaled capital and built operator/business skills

- Personal brand → amplified all other streams and unlocked consulting
 - Consulting → quick cash to fund operations and team
 - Real estate → deployed profits into appreciating hard assets
 - Investing → long-term compounding of all accumulated wealth
- "I didn't really have an order or game plan back then, but in hindsight, I'm very happy with the order of skills I learned because each one funded the next opportunity."
 - Summary scorecard:

Income Stream	Ease to Start	Speed to \$	Passive Score
Trading	3 / 5	3 / 5	4 / 5
Digital Products	3 / 5	3 / 5	2 / 5
Personal Brand	4 / 5	2 / 5	2 / 5
Consulting	4 / 5	4 / 5	1 / 5
Real Estate	1 / 5	2–3 / 5	4 / 5
Investing	4–5 / 5	2 / 5	5 / 5

- Tim invites viewers to comment which income stream they want him to break down in more depth